Midterm Review Packet

Financial Accounting · M1

Midterm: Thursday, October 15, 2026 · 9:00–10:30



What to expect on October 15

I

Recording transactions

A retailer's year, event by event. Use journal entries, T-accounts, or the balance sheet equation.

12 points · about 35 min

II

Corporate reporting

Short written answers on ESG factors and the two directions of materiality.

3 points · about 10 min

III

Forecast statements

A manufacturer's cash flow budget, income statement, and balance sheet for next year.

15 points · about 45 min

90 minutes
9:00 to 10:30

Closed book
no documents

Calculator
allowed

Answer sheets only
nothing else is graded



Recording transactions

One retailer, one year, fourteen events. Practice case: Rameau Co., solved in all three formats.

Two rules that never bend

RULE 1: THE EQUATION BALANCES

Assets = Liabilities + Shareholders' equity

After every single transaction, not only at year-end.

EQUITY, OPENED UP

Shareholders' equity = Share capital + Retained earnings + Revenues − Expenses

Revenues raise equity and expenses lower it. Dividends lower retained earnings without ever touching the income statement.

RULE 2: DEBITS = CREDITS IN EVERY ENTRY

Account type	Increases on	Decreases on
Assets	Left (debit)	Right (credit)
Expenses	Left (debit)	Right (credit)
Liabilities	Right (credit)	Left (debit)
Shareholders' equity	Right (credit)	Left (debit)
Revenues	Right (credit)	Left (debit)

Memory aid: assets and expenses live on the left. Everything else lives on the right. An account grows on the side where it lives.

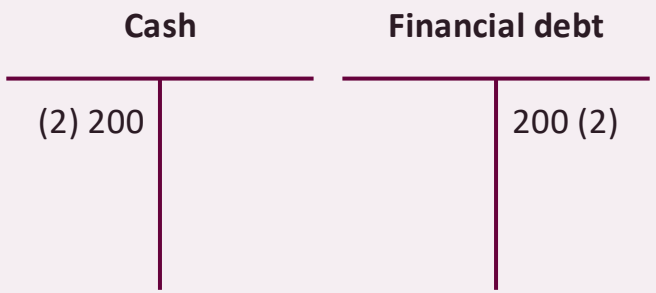
Three accepted formats: pick one, stay with it

2 **Example: the company borrows 200 from its bank.**

JOURNAL ENTRIES

N°	Account / Left	Account / Right	Left	Right
2	Cash	Financial debt	200	200

T-ACCOUNTS



BALANCE SHEET EQUATION

N°	Assets: Cash	=	Liabilities: Financial debt
2	+200		+200

Write the transaction number next to every entry. If an event needs no entry at all, write its number and "N/A" so the grader knows you decided, not forgot.

Perpetual or periodic: choose once and say so

PERPETUAL

Purchases go to the balance sheet

When you buy	Merchandise inventory (asset) goes up
When you sell	Two entries: sales revenue, then cost of goods sold out of inventory
At year-end	Nothing to record: the inventory account already shows what is on hand

PERIODIC

Purchases go to the income statement

When you buy	Purchase of merchandise (expense) goes up
When you sell	One entry: sales revenue only
At year-end	Record the ending inventory through Change in inventory of merchandise

Same net income, same balance sheet, different entries. Tick your method at the top of the answer sheet and do not switch midway.

Practice case: Rameau Co., a retailer in year one

Amounts in thousands of CU. Choose your inventory method, then record all fourteen before reading on.

1. Shareholders create the company and contribute shop equipment worth 240 and cash of 160.
2. Rameau borrows 200 from its bank.
3. Rameau sends a purchase order for shop supplies (20) to be delivered next year. Nothing is paid yet.
4. Rameau signs a contract for merchandise priced at 150 and pays the supplier 60 in cash that day. Delivery is next month.
5. The merchandise under that contract arrives. The rest of the price is due later.
6. Rameau sells merchandise for 220: 100 in cash and 120 on account. The goods sold had cost 90.
7. Rameau pays 15 in cash for the year's shop rent.
8. Rameau pays the supplier 50.
9. A customer pays 80 of what it owes.
10. Personnel costs for the year, unpaid at year-end: salaries 40 and social charges 20.
11. Rameau pays 8 of interest on the bank loan.
12. The shop equipment has an 8-year useful life and no residual value. Depreciation is straight-line.
13. On December 31, Rameau declares a dividend of 10, to be paid next year.
14. The year-end count shows merchandise on hand worth 60.

Financing the business: owners and lenders

1 **2** **Shareholders contribute equipment (240) and cash (160). Then the bank lends 200.**

(1) FROM OWNERS: SHARE CAPITAL

Account	Debit (left)	Credit (right)
Equipment	240	
Cash	160	
Share capital		400

Assets up 400, equity up 400. A contribution in kind is recorded at its agreed value, exactly like cash.

(2) FROM LENDERS: FINANCIAL DEBT

Account	Debit (left)	Credit (right)
Cash	200	
Financial debt		200

Assets up 200, liabilities up 200. The loan must be repaid, so it can never be revenue.

Both entries are identical under the perpetual and periodic methods. Neither touches the income statement.

A promise is not a transaction. A payment is

3 **4** **A purchase order for supplies (20), nothing paid. Then a contract for merchandise (150), with 60 paid on signing.**

(3) ORDER SENT, NOTHING EXCHANGED

No entry

No goods received, no cash paid, no obligation yet. Both sides have only made promises. Write "3: N/A" on your answer sheet.

(4) CONTRACT SIGNED, 60 PAID UP FRONT

Account	Debit (left)	Credit (right)
Advances to suppliers	60	
Cash		60

Only the 60 has changed hands. In return Rameau holds a claim on goods to come, which is an asset. The other 90 is still a promise, so it stays off the books.

Ask one question: what has actually changed hands so far? Record that, and only that.

Event 4, slowly: three tempting answers

4 **Contract for merchandise priced at 150. Rameau pays 60 on signing. Delivery next month.**

A "Book the whole purchase"

Merchandise 150 on the left. Cash 60 and Trade payables 90 on the right.

Why not: Nothing has arrived. Rameau has no goods yet and does not yet owe the other 90.

B "The 60 is an expense"

Purchase of merchandise 60 on the left. Cash 60 on the right.

Why not: Nothing has been received or used up. The 60 will come back as goods next month.

C "It is only a contract"

No entry until the goods are delivered.

Why not: True for the contract alone, but cash has left the bank account. That must be recorded.

✓ **Split the sentence into what is done and what is promised.** Done: 60 of cash paid. Promised: 150 of goods from the supplier and 90 more from Rameau. Record only what is done: Advances to suppliers 60 on the left, Cash 60 on the right.

The goods arrive: where the methods split

5 **The merchandise (150) arrives. The 60 paid on signing is used up and the remaining 90 is due later.**

PERPETUAL

Account	Debit (left)	Credit (right)
Merchandise inventory	150	
Advances to suppliers		60
Trade payables		90

The goods are an asset on the balance sheet until they are sold.

PERIODIC

Account	Debit (left)	Credit (right)
Purchase of merchandise	150	
Advances to suppliers		60
Trade payables		90

The purchase goes straight to the income statement as an expense.

Only the left side differs. On the right, the advance is cleared first and only the unpaid 90 becomes a trade payable.

Flip it: the same contract in the supplier's books

★ **The supplier receives 60 on signing, then delivers the 150 of merchandise a month later.**

ON SIGNING: CASH IN, NOTHING DELIVERED

Account	Debit (left)	Credit (right)
Cash	60	
Advances from customers		60

The supplier holds the cash but owes the goods. That is a liability, not revenue.

ON DELIVERY: REVENUE IS EARNED

Account	Debit (left)	Credit (right)
Advances from customers	60	
Trade receivables	90	
Sales revenue		150

The full 150 is revenue now. The advance is cleared and the unpaid 90 becomes a receivable.

One contract, two mirror images: Rameau's asset (Advances to suppliers) is the supplier's liability (Advances from customers).

A sale, part cash and part on account

6 **Rameau sells merchandise for 220: 100 in cash and 120 on account. The goods had cost 90.**

PERPETUAL: TWO ENTRIES

Account	Debit (left)	Credit (right)
Cash	100	
Trade receivables	120	
Sales revenue		220
Cost of goods sold	90	
Merchandise inventory		90

PERIODIC: ONE ENTRY

Account	Debit (left)	Credit (right)
Cash	100	
Trade receivables	120	
Sales revenue		220

No cost entry at the time of sale. The cost of what was sold is worked out at year-end.

Revenue is the full 220. It is earned when the goods are delivered, not when the cash arrives.

Settling up moves cash, not income

8 **9** **Rameau pays its supplier 50. A customer pays 80 of what it owes.**

(8) PAYING THE SUPPLIER

Account	Debit (left)	Credit (right)
Trade payables	50	
Cash		50

A liability and an asset both go down. Trade payables left: 90 − 50 = 40.

(9) COLLECTING FROM A CUSTOMER

Account	Debit (left)	Credit (right)
Cash	80	
Trade receivables		80

One asset is swapped for another. Trade receivables left: 120 − 80 = 40.

No revenue and no expense here: both were recognized earlier, when the goods changed hands.

Expenses of the period, paid or not

7 10 11 **Rent of 15 paid in cash. Salaries 40 and social charges 20, unpaid. Interest of 8 paid.**

(7) RENT, PAID IN CASH

Rent expense	15	
Cash		15

Expense and cash move together.

(10) PERSONNEL, UNPAID

Salaries expense	40	
Social charges expense	20	
Salaries payable		40
Social charges payable		20

The work was done this year, so the expense is this year's. A liability replaces the cash.

(11) INTEREST, PAID IN CASH

Interest expense	8	
Cash		8

Interest is a financial expense. The loan itself stays at 200.

An expense belongs to the period in which it is incurred, whether or not the cash has gone out yet.

Depreciation: spreading the cost of a long-lived asset

12 **The equipment (240) has an 8-year useful life, no residual value, straight-line depreciation.**

THE CALCULATION

240 ÷ 8 years

30

per year, every year

THE ENTRY (SAME UNDER BOTH METHODS)

Account	Debit (left)	Credit (right)
Depreciation expense	30	
Accumulated depreciation		30

- Credit Accumulated depreciation, not Equipment. The original cost stays visible.
- Net book value = 240 − 30 = 210.
- In the balance sheet equation format, one "Equipment (net)" column is fine.

Depreciation is an expense with no cash movement. Keep that in mind for Part III.

Dividends declared: a payout, not an expense

13 **On December 31, Rameau declares a dividend of 10, to be paid next year.**

THE ENTRY (SAME UNDER BOTH METHODS)

Account	Debit (left)	Credit (right)
Retained earnings	10	
Dividends payable		10

A dividend is a share of profit handed to the owners. It reduces equity directly and never appears in the income statement.

TWO DATES, TWO EFFECTS

1 **Declared** · This year

Equity down 10. A liability to shareholders appears: Dividends payable.

2 **Paid** · Next year

The liability disappears and cash goes down 10.

Declaring creates the obligation. Paying settles it. Neither one is an expense.

Ending inventory: the year-end step

14 **The year-end count shows merchandise on hand worth 60.**

PERPETUAL

No entry

The inventory account already says 60. Check it: 0 at the start + 150 bought − 90 sold = 60. Write "14: N/A".

PERIODIC

Account	Debit (left)	Credit (right)
Merchandise inventory	60	
Change in inventory of merchandise		60

The 60 still on hand becomes an asset and comes out of this year's expenses: 150 purchased − 60 = 90 consumed.

Either way, the cost of the goods sold is 90 and the balance sheet shows 60 of merchandise.

Rameau solution: T-accounts, perpetual method

BALANCE SHEET

Assets

Equipment	
(1) 240	

Accumulated depreciation	
	30 (12)

Advances to suppliers	
(4) 60	60 (5)

Merchandise inventory	
(5) 150	90 (6)

Trade receivables	
(6) 120	80 (9)

Cash	
(1) 160	60 (4)
(2) 200	15 (7)
(6) 100	50 (8)
(9) 80	8 (11)

Equity and liabilities

Share capital	
	400 (1)

Retained earnings	
(13) 10	

Financial debt	
	200 (2)

Trade payables	
(8) 50	90 (5)

Salaries payable	
	40 (10)

Social charges payable	
	20 (10)

Dividends payable	
	10 (13)

INCOME STATEMENT

Expenses

Cost of goods sold	
(6) 90	

Rent expense	
(7) 15	

Salaries expense	
(10) 40	

Social charges expense	
(10) 20	

Depreciation expense	
(12) 30	

Interest expense	
(11) 8	

Revenues

Sales revenue	
	220 (6)

Reading this solution

- Events 3 and 14: N/A. Nothing to record.
- Merchandise inventory ends at 150 − 90 = 60, which matches the count.
- Cash ends at 407.
- Net income: 220 − 90 − 15 − 40 − 20 − 30 − 8 = 17.

Rameau solution: T-accounts, periodic method

BALANCE SHEET

Assets

Equipment	
(1) 240	

Accumulated depreciation	
	30 (12)

Advances to suppliers	
(4) 60	60 (5)

Merchandise inventory	
(14) 60	

Trade receivables	
(6) 120	80 (9)

Cash	
(1) 160	60 (4)
(2) 200	15 (7)
(6) 100	50 (8)
(9) 80	8 (11)

Equity and liabilities

Share capital	
	400 (1)

Retained earnings	
(13) 10	

Financial debt	
	200 (2)

Trade payables	
(8) 50	90 (5)

Salaries payable	
	40 (10)

Social charges payable	
	20 (10)

Dividends payable	
	10 (13)

INCOME STATEMENT

Expenses

Purchase of merchandise	
(5) 150	

Change in inventory of merchandise	
	60 (14)

Rent expense	
(7) 15	

Salaries expense	
(10) 40	

Social charges expense	
(10) 20	

Depreciation expense	
(12) 30	

Interest expense	
(11) 8	

Revenues

Sales revenue	
	220 (6)

Reading this solution

- Event 3: N/A. Event 14 now has an entry.
- No Cost of goods sold account: purchases of 150 less the change in inventory of 60 give the same 90.
- Cash ends at 407.
- Net income: $220 - 150 + 60 - 15 - 40 - 20 - 30 - 8 = 17$.

Rameau solution: accounting equation, perpetual method

	Assets					= Liabilities					+ Shareholders' equity			
N°	Equipment (net)	Advances to suppliers	Merchandise inventory	Trade receivables	Cash	Financial debt	Trade payables	Salaries payable	Social charges payable	Dividends payable	Share capital	Retained earnings	Net income	Details of IS transactions
1	+240				+160						+400			
2					+200	+200								
3														*N/A: no entry*
4		+60			−60									
5		−60	+150				+90							
6				+120	+100								+220	Sales revenue
6			−90										−90	Cost of goods sold
7					−15								−15	Rent expense
8					−50		−50							
9				−80	+80									
10								+40					−40	Salaries expense
10									+20				−20	Social charges expense
11					−8								−8	Interest expense
12	−30												−30	Depreciation expense
13										+10		−10		
14														N/A: no entry
End	**210**	**0**	**60**	**40**	**407**	**200**	**40**	**40**	**20**	**10**	**400**	**−10**	**17**	

Every row balances on its own. Highlighted rows are where the perpetual method differs. Final check: assets 717 = liabilities 310 + equity 407.

Rameau solution: accounting equation, periodic method

	Assets					= Liabilities					+ Shareholders' equity			
N°	Equipment (net)	Advances to suppliers	Merchandise inventory	Trade receivables	Cash	Financial debt	Trade payables	Salaries payable	Social charges payable	Dividends payable	Share capital	Retained earnings	Net income	Details of IS transactions
1	+240				+160						+400			
2					+200	+200								
3														*N/A: no entry*
4		+60			−60									
5		−60					+90						−150	Purchase of merchandise
6				+120	+100								+220	Sales revenue
7					−15								−15	Rent expense
8					−50		−50							
9				−80	+80									
10								+40					−40	Salaries expense
10									+20				−20	Social charges expense
11					−8								−8	Interest expense
12	−30												−30	Depreciation expense
13										+10		−10		
14			+60										+60	Change in inventory
End	**210**	**0**	**60**	**40**	**407**	**200**	**40**	**40**	**20**	**10**	**400**	**−10**	**17**	

Highlighted rows are where the periodic method differs. The ending balances are identical: assets 717 = liabilities 310 + equity 407.

Part I: six mistakes that cost points

Recording a promise

An order or a signed contract with nothing exchanged needs no entry. Write the number and N/A.

Expensing an advance

Cash paid before delivery is an asset (Advances to suppliers) until the goods arrive.

Miscounting sale entries

Perpetual: revenue plus cost of goods sold. Periodic: revenue only.

Crediting the asset for depreciation

Use Accumulated depreciation so the original cost stays on the books.

Calling dividends an expense

Dividends reduce retained earnings. They never pass through the income statement.

Leaving the grader guessing

No method ticked, no transaction numbers, or a switch of method halfway through.

II

Corporate reporting

ESG factors and the two directions in which they matter.

ESG: three families of factors

When a firm operates, it creates effects on others that its accounts do not capture. ESG is how we name and sort them.

E Environmental

Factors about the natural world: how the company uses and interacts with renewable and non-renewable resources.

- Climate change
- Resource depletion
- Waste and pollution
- Deforestation

S Social

Factors that affect people's lives: employees, customers, suppliers' workers, and local communities.

- Human rights
- Working conditions
- Employee relations
- Child labor and modern slavery

G Governance

Factors about the process by which a company is managed and overseen. It is about people and processes.

- Board structure and diversity
- Executive pay
- Bribery and corruption
- Tax strategy and lobbying

Quick practice: which pillar?

Water drawn by a semiconductor plant in a drought-prone region — **E**

Accident rates among warehouse workers — **S**

How many board members are independent of management — **G**

Packaging that cannot be recycled — **E**

Protection of customers' personal data — **S**

Controls against bribery when bidding for public contracts — **G**

Tip: for governance, think of who decides, who checks, and by what rules.

One factor, two directions

FINANCIAL MATERIALITY

Outside-in

Environment and society → **The company's finances**

How does this factor affect our revenues, costs, assets, liabilities, or cash flows?

The effect shows up, sooner or later, in net income and in the value of the company.

IMPACT MATERIALITY

Inside-out

The company's activities → **Society and the environment**

How do our activities affect people and the planet, for better or worse?

It counts even when the company's own results are untouched. Impacts can be positive or negative.

Double materiality means reporting both directions. Traditional reporting stops at the first: what affects investors. Sustainability reporting in Europe (CSRD) asks for the second as well.

Examples that are specific enough to earn the point

A FACTOR WITH A FINANCIAL IMPACT ON THE COMPANY

E — Airline

Carbon pricing forces the airline to buy emission allowances, raising operating costs and squeezing margins.

S — Food delivery platform

A court ruling that couriers are employees adds social charges and benefits, raising personnel costs.

G — Bank

Weak anti-money-laundering controls lead to regulatory fines and costly compliance programs.

A COMPANY ACTIVITY WITH AN IMPACT ON SOCIETY

E — Cement producer

Its kilns emit large amounts of CO2, which contributes to climate change (negative impact).

S — Retail chain

Its apprenticeship program trains unemployed young people and improves local job prospects (positive impact).

G — Multinational group

Shifting profits to low-tax countries deprives other countries of public revenue (negative impact).

Use these as models, not as scripts. Prepare one example of your own for each direction.

Writing an answer that earns full credit

1

Name the factor and its pillar

"Water scarcity, an environmental factor…"

2

Name the company or industry

"…for a beverage producer…"

3

State the direction

Is it the factor affecting the company, or the company affecting others?

4

Spell out the consequence

Which cost, revenue, or risk changes? Or who is affected, and how?

TOO VAGUE

"Climate change is financially material for companies."

Which company? Through what channel? What changes?

SPECIFIC

"Water scarcity (E) is financially material for a beverage producer: when local authorities restrict water use, the plant must cut output or buy water at a higher price, which lowers revenue and raises production costs."

Watch the direction: pollution that hurts the company's reputation and sales is financial materiality. Pollution that harms a river and its residents is impact materiality.

III

Forecast statements

From a set of budgets to a cash flow budget, an income statement, and a balance sheet. Worked example: Rainforest, from the 2025 midterm.

Worked example: Rainforest (2025 midterm)

BALANCE SHEET AT DECEMBER 31, X1 (THOUSANDS OF CU)

Assets		Equity and liabilities	
Manufacturing equip. (net)	1,350	Capital	700
Raw materials	50	Accumulated retained earnings	410
Finished products	190	Net income for X1 (a)	290
Trade receivables (b)	200	Financial debt	260
Cash at bank	150	Trade payables (b)	90
		Income tax payable (b)	190
Total	**1,940**	**Total**	**1,940**

(a) To be appropriated in X2: 40% will be distributed.
(b) To be received or paid in X2.

Required: cash flow budget, income statement, and balance sheet for X2.

BUDGETS FOR X2

1. Sales: 1,540, of which 1,210 received during the year
2. Raw material purchases: 740, of which 660 paid
3. Debt: 160 repaid, 80 newly borrowed, interest of 26 paid
4. Salaries and social charges: 380, all paid
5. Various external charges: 120, all paid
6. Various taxes: 90, all paid
7. Fixed assets acquired: 240, half paid during the year
8. Depreciation, including the new assets: 45
9. Increase of capital in cash: 200
10. Ending inventories: raw materials 70, finished products 140

Income tax rate: 33%. The tax is paid the following year.

The accounting equation method in seven moves

1

Copy last year's balance sheet

It becomes the first row of the worksheet: one column per account.

2

Appropriate last year's net income

Part is paid out as dividends (cash out, financing). The rest joins retained earnings.

3

Settle last year's leftovers

Collect opening trade receivables. Pay opening trade payables and income tax payable.

4

Run each budget line through

One row per line. Ask: income effect? cash effect? what stays on the balance sheet?

5

Add the non-cash items

Depreciation expense. For each inventory: cancel the beginning balance, then record the ending one.

6

Compute income tax

Rate × income before tax. It is an expense this year and a payable until next year.

7

Add up every column

The last row is the new balance sheet. Assets must equal liabilities plus equity.

One worksheet, three statements: the Cash column gives the cash flow budget, the Net income column gives the income statement, and the last row gives the balance sheet.

Rainforest, step 1: set up and clear last year's leftovers

	Assets						= Liabilities				+ Shareholders' equity			
Event	Equipment (net)	Raw materials	Finished products	Trade receivables	Cash	Type	Financial debt	Trade payables	Fixed asset payables	Income tax payable	Capital	Retained earnings	Net income	Details of IS transactions
Balance at Dec. 31, X1	**1,350**	**50**	**190**	**200**	**150**		**260**	**90**	**0**	**190**	**700**	**410**	**290**	
A. X1 income: 40% dividends					−116	F						+174	−290	
B. Collect X1 receivables				−200	+200	O								
C. Pay X1 trade payables					−90	O		−90						
D. Pay X1 income tax					−190	O				−190				

How to read the worksheet

One column per balance sheet account, one row per event, and every row keeps Assets = Liabilities + Shareholders' equity. The Type column tags each cash movement: O operating, I investing, F financing.

Row A: last year's net income

40% of 290 = 116 is paid as dividends (financing). The other 174 moves to retained earnings. The Net income column is now empty and ready for X2.

Rows B to D: the footnotes

Opening receivables are collected. Opening trade payables and income tax payable are paid. All three are operating cash flows with no effect on X2 income.

Rainforest, step 2: run budgets 1 to 6 through

	Assets						= Liabilities				+ Shareholders' equity			
Event	Equipment (net)	Raw materials	Finished products	Trade receivables	Cash	Type	Financial debt	Trade payables	Fixed asset payables	Income tax payable	Capital	Retained earnings	Net income	Details of IS transactions
Balance at Dec. 31, X1	**1,350**	**50**	**190**	**200**	**150**		**260**	**90**	**0**	**190**	**700**	**410**	**290**	
A. X1 income: 40% dividends					−116	F						+174	−290	
B. Collect X1 receivables				−200	+200	O								
C. Pay X1 trade payables					−90	O		−90						
D. Pay X1 income tax					−190	O				−190				
1. Sales (1,210 collected)				+330	+1,210	O							+1,540	Sales
2. Purchases (660 paid)					−660	O		+80					−740	Raw material purchases
3. Repayment of debt					−160	F	−160							
3. New debt					+80	F	+80							
3. Interest paid					−26	O							−26	Financial expenses
4. Salaries, social charges					−380	O							−380	Personnel expenses
5. External charges					−120	O							−120	External expenses
6. Various taxes					−90	O							−90	Other taxes

Sales and purchases

Income takes the full amount: 1,540 and 740. Cash takes what is settled this year. The gap waits in trade receivables (330) and trade payables (80).

Debt

Borrowing and repaying move Cash and Financial debt, never income. Only the 26 of interest is an expense.

Paid expenses

Rows 4 to 6 are paid in full, so Cash and Net income fall by the same amount.

Rainforest, step 3: investment, capital, and non-cash items

	Assets						= Liabilities				+ Shareholders' equity			
Event	Equipment (net)	Raw materials	Finished products	Trade receivables	Cash	Type	Financial debt	Trade payables	Fixed asset payables	Income tax payable	Capital	Retained earnings	Net income	Details of IS transactions
Balance at Dec. 31, X1	**1,350**	**50**	**190**	**200**	**150**		**260**	**90**	**0**	**190**	**700**	**410**	**290**	
A. X1 income: 40% dividends					−116	F						+174	−290	
B. Collect X1 receivables				−200	+200	O								
C. Pay X1 trade payables					−90	O		−90						
D. Pay X1 income tax					−190	O				−190				
1. Sales (1,210 collected)				+330	+1,210	O							+1,540	Sales
2. Purchases (660 paid)					−660	O		+80					−740	Raw material purchases
3. Repayment of debt					−160	F	−160							
3. New debt					+80	F	+80							
3. Interest paid					−26	O							−26	Financial expenses
4. Salaries, social charges					−380	O							−380	Personnel expenses
5. External charges					−120	O							−120	External expenses
6. Various taxes					−90	O							−90	Other taxes
7. Fixed assets (half paid)	+240				−120	I			+120					
8. Depreciation	−45												−45	Depreciation expense
9. Capital increase					+200	F					+200			
10. Raw materials: cancel 50		−50											−50	Change in inventory, RM
10. Raw materials: record 70		+70											+70	Change in inventory, RM
10. Fin. products: cancel 190			−190										−190	Change in inventory, FP
10. Fin. products: record 140			+140										+140	Change in inventory, FP

Row 7: all 240 joins Equipment, but only 120 leaves Cash (investing); the unpaid half is a fixed asset payable. Rows 8 and 10 move no cash. Each inventory takes two rows: first cancel the beginning balance, which is used up or sold during the year, then record the ending balance from the budget. Net effect on income: raw materials +20, finished products −50.

Rainforest, step 4: income tax, then add up every column

	Assets						= Liabilities				+ Shareholders' equity			
Event	Equipment (net)	Raw materials	Finished products	Trade receivables	Cash	Type	Financial debt	Trade payables	Fixed asset payables	Income tax payable	Capital	Retained earnings	Net income	Details of IS transactions
Balance at Dec. 31, X1	**1,350**	**50**	**190**	**200**	**150**		**260**	**90**	**0**	**190**	**700**	**410**	**290**	
A. X1 income: 40% dividends					−116	F						+174	−290	
B. Collect X1 receivables				−200	+200	O								
C. Pay X1 trade payables					−90	O		−90						
D. Pay X1 income tax					−190	O				−190				
1. Sales (1,210 collected)				+330	+1,210	O							+1,540	Sales
2. Purchases (660 paid)					−660	O		+80					−740	Raw material purchases
3. Repayment of debt					−160	F	−160							
3. New debt					+80	F	+80							
3. Interest paid					−26	O							−26	Financial expenses
4. Salaries, social charges					−380	O							−380	Personnel expenses
5. External charges					−120	O							−120	External expenses
6. Various taxes					−90	O							−90	Other taxes
7. Fixed assets (half paid)	+240				−120	I			+120					
8. Depreciation	−45												−45	Depreciation expense
9. Capital increase					+200	F					+200			
10. Raw materials: cancel 50		−50											−50	Change in inventory, RM
10. Raw materials: record 70		+70											+70	Change in inventory, RM
10. Fin. products: cancel 190			−190										−190	Change in inventory, FP
10. Fin. products: record 140			+140										+140	Change in inventory, FP
Income tax: 33% × 109										+36			−36	Income tax expense
Balance at Dec. 31, X2	**1,545**	**70**	**140**	**330**	**−112**		**180**	**80**	**120**	**36**	**900**	**584**	**73**	

Income before tax is 109, so tax is 36 and net income is 73. Last row: assets 1,973 = liabilities 416 + equity 1,557. Cash ends at −112, which the balance sheet shows as a bank overdraft.

Cash flow budget: read it off the Cash column

Opening balance (1)	**150**
Operating activities (rows tagged O)	
Cash received from X2 sales	1,210
Cash received from X1 trade receivables	200
Cash paid for X2 purchases	−660
Cash paid for X1 trade payables	−90
X1 income tax paid	−190
Personnel expenses	−380
External expenses	−120
Taxes other than income tax	−90
Interest paid	−26
Net cash used in operating activities (2)	**−146**

Investing activities (rows tagged I)	
Acquisition of fixed assets (half of 240)	−120
Net cash used in investing activities (3)	**−120**
Financing activities (rows tagged F)	
Increase in capital	200
New debt	80
Repayment of debt	−160
Dividends paid (40% × 290)	−116
Net cash from financing activities (4)	**4**
Net decrease in cash (5) = (2) + (3) + (4)	**−262**
Ending balance (6) = (1) + (5)	**−112**

Rows with no tag never appear here: depreciation, the change in inventories, and X2 income tax (paid in X3).

Income statement: read it off the Net income column

Expenses		Revenues	
Purchases of raw materials	740	Sales	1,540
Change in inventory of raw materials (B – E)	**–20**	**Change in inventory of finished products (E – B)**	**–50**
External expenses	120		
Taxes other than income tax	90		
Personnel expenses	380		
Depreciation expense	45		
Financial expenses (interest)	26	Financial revenues	0
Subtotal	**1,381**	**Subtotal**	**1,490**
Income tax expense (33% × 109)	36		
Net income	**73**		
Total	**1,490**	**Total**	**1,490**

Raw materials: beginning – ending = 50 – 70 = –20. In the worksheet: −50 to cancel the beginning inventory, then +70 to record the ending one. The net +20 of income appears as −20 among expenses.

Finished products: ending – beginning = 140 – 190 = –50. In the worksheet: −190 to cancel the beginning inventory, then +140 to record the ending one. The net −50 sits on the revenue side.

Balance sheet: read it off the last row

Assets	Beg	+	–	End	Equity and liabilities	Beg	–	+	End
Non-current assets					*Shareholders' equity*				
Manufacturing equip. (net)	1,350	240	45	**1,545**	Capital	700		200	**900**
					Accumulated retained earnings	410		174	**584**
Current assets					Net income	290	290	73	**73**
Raw materials	50	70	50	**70**	**Subtotal**	**1,400**			**1,557**
Finished products	190	140	190	**140**	*Liabilities*				
Trade receivables	200	330	200	**330**	Financial debt	260	160	80	**180**
Cash at bank	**150**	*see cash flow budget*		**0**	**Bank overdraft**	**0**		**112**	**112**
					Trade payables	90	90	80	**80**
					Fixed asset payables	0		120	**120**
					Income tax payable	190	190	36	**36**
Total	**1,940**			**2,085**	**Total**	**1,940**			**2,085**

Negative cash is not an asset. Show Cash at bank as 0 and a Bank overdraft of 112 in liabilities.

Last year's net income leaves its line: 116 went out as dividends and 174 moved to retained earnings.

Inventories: the – column cancels the beginning balance and the + column records the ending balance.

Part III: mistakes that cost the most

Depreciation in the cash flow budget

It is an expense with no cash movement. Income statement and balance sheet only.

Dividends among the expenses

They are a use of last year's profit: financing cash outflow, never the income statement.

Equipment purchases in operating activities

Buying long-lived assets is an investing activity, and it is not an expense either.

A capital increase counted as revenue

Money from shareholders is financing. It raises capital, not income.

Ending inventory instead of the change

The income statement takes the change: raw materials (B − E) under purchases, finished products (E − B) under sales.

Forgetting last year's leftovers

Opening receivables, payables, and income tax payable all settle in cash this year.

If ending cash comes out negative, show Cash at bank as zero and report the shortfall as a Bank overdraft in liabilities.

Before you hand in

Five checks, two minutes. Then breathe: you have done the work. Good luck!

- ✓ Name, instructor, and section are on the answer sheet
- ✓ Your inventory method is ticked for Part I
- ✓ Every entry carries its transaction number, with N/A where no entry is needed
- ✓ Debits equal credits in each entry
- ✓ Balance sheet totals agree, and ending cash matches the cash flow budget